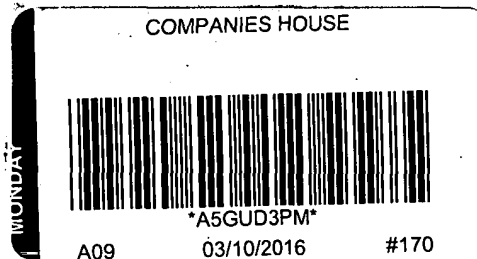


Alpha FMC Group Holdings Limited

**Annual report and consolidated
financial statements**

Registered number 08555831

31 March 2016



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Company information

Directors

Mr N Baker
Mr E Fraser
Mr N Kent
Mr T Trotter

Company number

08555831

Registered office

60 Gresham Street
London
EC2V 7BB

Auditor

KPMG LLP
St Nicholas House
Park Row
Nottingham
NG1 6FQ

Bankers

HSBC Bank PLC
28 Borough High Street
Southwark
London
SE11YB

Strategic report

Business review

The Group continued to demonstrate very good performance, with a turnover of £36,351,000 and operating profit at £5,911,000, a 20% and 59% increase in comparison to the prior year's performance of £30,403,000 and £3,724,000 respectively. The value of trade debtors increased from £6,468,000 at the end of last financial year to £7,046,000. There are no material concerns over the recoverability of debtors, and the bad debt provision introduced in the previous financial year has been increased to £118,000.

No entities were incorporated or acquired during the year, but the Group was acquired by a new investor and a new parent structure was put in place in February 2016.

Future developments

The business plan developed by the directors shows strong growth is expected to continue in the forthcoming year. The directors are confident of achieving their plan based on the level of on-going work at the start of the financial year, the level of work already sold but still to be delivered and the strong pipeline of future opportunities. The conditions of the markets in which the company operates are good and show signs of increasing activity. Both geographical and sector expansion will be investigated in the coming years to augment the growth expected in the existing businesses.

Key performance indicators

The directors monitor performance on both a weekly and a monthly basis using a range of financial and non-financial indicators. Working capital management is the primary indicator which is reviewed on a weekly basis to monitor cash flow, liquidity and the recovery of trade debtors.

Each month the directors review the management accounts for each group undertaking and compare actual performance against budget. Costs are also reviewed to monitor profitability.

Principal risks

The performance of the group is subject to only limited risk in the short and medium term as the future pipeline of work is very strong. The group continues to generate substantial cash after retaining a proportion of profits to fund increased working capital requirements resulting from growth in the business. Management continues to operate conservative cash management policies.

By order of the board



Mr E Fraser
Director

29 September 2016

Directors' report

The directors present their report and the audited financial statements for the year ended 31 March 2016.

Principal activities and review of the business

The principal activity of the company is that of a holding company. The principal activity of the group is the provision of consulting and related services to clients in the asset and wealth management industries.

Results and dividends

The results for the period are set out on page 6.

No dividend was paid in the period. The directors do not recommend payment of a final dividend.

After deducting taxation and after exchange adjustments, the amount of £1,196,000 has been transferred to reserves (2015: £609,000 transferred from reserves).

Directors

The following directors have held office during the period and to the date of this report.

Mr N Baker

Mr A Ferguson (resigned 3rd February 2016)

Mr E Fraser

Mr N Kent

Mr T Trotter

Statement of disclosure to the auditor

So far as the directors are aware, there is no relevant audit information of which the company's auditor is unaware. Additionally, the directors have taken all the necessary steps that they ought to have taken as directors in order to make themselves aware of all relevant audit information and to establish that the company's auditors are aware of that information.

Auditor

Pursuant to Section 487 of the Companies Act 2006, the auditor will be deemed to be reappointed and KPMG LLP will therefore continue in office.

By order of the board



Mr E Fraser

Director

60 Gresham Street
London
EC4V 7BB

29 September 2016

Statement of directors' responsibilities in respect of the annual report and the financial statements

The directors are responsible for preparing the Strategic Report, the Directors' Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law they have elected to prepare the group and parent company financial statements in accordance with UK Accounting Standards and applicable law (UK Generally Accepted Accounting Practice), including FRS 102 The Financial Reporting Standard applicable in the UK and Republic of Ireland.

Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the group and parent company and of their profit or loss for that period. In preparing each of the group and parent company financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the group and the parent company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the parent company's transactions and disclose with reasonable accuracy at any time the financial position of the parent company and enable them to ensure that its financial statements comply with the Companies Act 2006. They have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the group and to prevent and detect fraud and other irregularities.



Independent auditor's report to the members of Alpha FMC Group Holdings Limited

We have audited the financial statements of Alpha FMC Group Holdings Limited for the year ended 31 March 2016 set out on pages 6 to 27. The financial reporting framework that has been applied in their preparation is applicable law and UK Accounting Standards (UK Generally Accepted Accounting Practice), including FRS 102 The Financial Reporting Standard applicable in the UK and Republic of Ireland.

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members, as a body, for our audit work, for this report, or for the opinions we have formed.

Respective responsibilities of directors and auditor

As explained more fully in the Directors' Responsibilities Statement set out on page 4, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view. Our responsibility is to audit, and express an opinion on, the financial statements in accordance with applicable law and International Standards on Auditing (UK and Ireland). Those standards require us to comply with the Auditing Practices Board's Ethical Standards for Auditors.

Scope of the audit of the financial statements

A description of the scope of an audit of financial statements is provided on the Financial Reporting Council's website at www.frc.org.uk/auditscopeukprivate.

Opinion on financial statements

In our opinion the financial statements:

- give a true and fair view of the state of the group's and of the parent company's affairs as at 31 March 2016 and of the group's profit for the year then ended;
- have been properly prepared in accordance with UK Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Opinion on other matter prescribed by the Companies Act 2006

In our opinion the information given in the Strategic Report and the Directors' Report for the financial year for which the financial statements are prepared is consistent with the financial statements.

Matters on which we are required to report by exception

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept by the parent company, or returns adequate for our audit have not been received from branches not visited by us; or
- the parent company financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Mark Flanagan (Senior Statutory Auditor)

for and on behalf of KPMG LLP, Statutory Auditor
Chartered Accountants
St Nicholas House
Park Row
Nottingham
NG1 6FQ

Dated: 29 September 2016

Profit and loss account and other comprehensive income
for year ended 31 March 2016

	Note	2016 £000	2015 £000
Turnover	3	36,351	30,403
Cost of sales		(23,711)	(21,007)
Gross profit		12,640	9,396
Administrative expenses	4	(6,729)	(5,672)
Group operating profit		5,911	3,724
Other interest receivable and similar income	7	14	6
Interest payable and similar charges	8	(3,252)	(3,507)
Profit on ordinary activities before taxation		2,673	223
Tax on profit on ordinary activities	9	(1,428)	(803)
Profit/(loss) for the financial year		1,245	(580)
Other comprehensive income			
Foreign exchange differences on translation of foreign operations		(49)	(29)
Other comprehensive income for the year, net of income tax		(49)	(29)

In both the current and preceding year, the company made no material acquisitions and had no discontinued operations.

The attached notes form part of these financial statements.

Consolidated balance sheet
at 31 March 2016

	Note	2016	2015
		£000	£000
Fixed assets			
Goodwill	10	24,516	25,876
Tangible assets	11	351	499
		<u>24,867</u>	<u>26,375</u>
Current assets			
Debtors (including £nil (2015: £nil) due after more than one year)	13	9,253	7,951
Cash at bank and in hand	14	6,705	5,319
		<u>15,958</u>	<u>13,270</u>
Creditors: amounts falling due within one year	15	<u>(10,790)</u>	<u>(7,040)</u>
Net current assets		<u>5,168</u>	<u>6,230</u>
Total assets less current liabilities		<u>30,035</u>	<u>32,605</u>
Creditors: amounts falling due after more than one year	16	-	(32,460)
Net assets		<u><u>30,035</u></u>	<u><u>145</u></u>
Capital and reserves			
Called up share capital	19	620	528
Share premium account		389	203
Capital contribution reserve		28,416	-
Profit and loss account		610	(586)
Shareholders' funds		<u><u>30,035</u></u>	<u><u>145</u></u>

These financial statements were approved by the board of directors on 29 September 2016 and were signed on its behalf by:



Mr E Fraser
Director

Company registered number: 08555831

The attached notes form part of these financial statements.

Company balance sheet
at 31 March 2016

	<i>Note</i>	2016 £000	2015 £000
Fixed assets			
Investments	12	22,421	
Current assets			
Debtors (including £nil (2015: £711) due after more than one year)	13	11,914	731
Creditors: amounts falling due within one year	15	(4,910)	
Net current assets		7,004	731
Net assets		29,425	731
Capital and reserves			
Called up share capital	19	620	528
Share premium account		389	203
Capital contribution reserve		28,416	-
Profit and loss account		-	-
Shareholders' funds		29,425	731

These financial statements were approved by the board of directors on 29 September 2016 and were signed on its behalf by:



Mr E Fraser
Director

Company registered number: 08555831

The attached notes form part of these financial statements.

Consolidated statement of changes in equity

	Called up share capital £000	Share premium account £000	Capital redem. account £000	Profit and loss account £000	Total shareho lder's equity £000
Balance at 1 April 2014	508	203	-	23	734
Total comprehensive income for the period					
Profit or loss	-	-	-	(580)	(580)
<i>Other comprehensive income</i>					
Foreign exchange differences on translation of foreign operations	-	-	-	(29)	(29)
Total comprehensive income for the period	-	-	-	(609)	(609)
Transactions with owners, recorded directly in equity					
Increase in share capital	20	-	-	-	20
Total contributions by and distributions to owners	20	-	-	-	20
Balance at 31 March 2015	528	203	-	(586)	145
	Called up share capital £000	Share premium account £000	Capital redem. account £000	Profit and loss account £000	Total shareho lder's equity £000
Balance at 1 April 2015	528	203	-	(586)	145
Total comprehensive income for the period					
Profit or loss	-	-	-	1,245	1,245
<i>Other comprehensive income</i>					
Foreign exchange differences on translation of foreign operations	-	-	-	(49)	(49)
Total comprehensive income for the period	-	-	-	1,196	1,196
Transactions with owners, recorded directly in equity					
Increase in share capital	92	186	-	-	278
Capital contribution	-	-	28,416	-	28,416
Total contributions by and distributions to owners	92	186	28,416	-	28,694
Balance at 31 March 2016	620	389	28,416	610	30,035
Set aside for dividends declared after the reporting period					-
Total					30,035

Company statement of changes in equity

	Called up share capital £000	Share premium account £000	Capital redem. account £000	Profit and loss account £000	Total equity £000
Balance at 1 April 2014	508	203	-	-	711
Total comprehensive income for the period					
Profit or loss	-	-	-	-	-
Transactions with owners, recorded directly in equity					
Increase in share capital	20	-	-	-	20
Total contributions by and distributions to owners	20	-	-	-	20
Balance at 31 March 2015	528	203	-	-	731

	Called up share capital £000	Share premium account £000	Capital redem. account £000	Profit and loss account £000	Total equity £000
Balance at 1 April 2015	528	203	-	-	731
Total comprehensive income for the period					
Profit or loss	-	-	-	-	-
Transactions with owners, recorded directly in equity					
Increase in share capital	92	186	-	-	278
Capital contribution	-	-	28,416	-	28,416
Total contributions by and distributions to owners	92	186	28,416	-	28,694
Balance at 31 March 2016	620	389	28,416	-	29,425
Set aside for dividends declared after the reporting period				-	-
Total				-	29,425

Consolidated cash flow statement
for year ended 31 March 2016

<i>Note</i>	2016 £000	2015 £000
Cash flows from operating activities		
Profit for the year	1,245	(580)
Adjustments for:		
Depreciation, amortisation and impairment	1,725	1,462
Foreign exchange losses	(153)	20
Interest receivable and similar income	(14)	(6)
Interest payable and similar charges	3,252	3,507
Gain on sale of tangible fixed assets	(2)	1
Taxation	1,428	803
	7,481	5,206
Increase in trade and other debtors	(1,158)	(887)
Increase/(decrease) in trade and other creditors	201	(4,212)
Decrease in provisions and employee benefits	-	(5)
	(957)	(5,104)
Tax paid	(1,461)	(107)
	5,063	(5)
Cash flows from investing activities		
Proceeds from sale of tangible fixed assets	-	-
Interest received	14	6
Acquisition of a subsidiary	-	(128)
Acquisition of tangible fixed assets	(401)	(492)
	(387)	(614)
Cash flows from financing activities		
Capital contribution received	28,416	-
Interest paid	(3,102)	(1,199)
Repayment of borrowings	(32,735)	-
New borrowings	3,750	-
Issue of ordinary share capital	278	20
	(3,393)	(1,179)
Net increase/(decrease) in cash and cash equivalents	1,283	(1,798)
Cash and cash equivalents at 1 April	5,319	7,137
Effect of exchange rate fluctuations on cash held	103	(20)
	6,705	5,319
Cash and cash equivalents at 31 March		

Notes

(forming part of the financial statements)

1 Accounting policies

Alpha FMC Group Holdings Limited (the "Company") is a company limited by shares and incorporated and domiciled in the UK.

These Group and parent company financial statements were prepared in accordance with Financial Reporting Standard 102 *The Financial Reporting Standard* applicable in the UK and Republic of Ireland ("*FRS 102*") as issued in August 2014. The amendments to FRS 102 issued in July 2015 and effective immediately have been applied. The presentation currency of these financial statements is sterling. All amounts in the financial statements have been rounded to the nearest £1,000.

In the transition to FRS 102 from old UK GAAP, the Group has made measurement and recognition adjustments. An explanation of how the transition to FRS 102 has affected financial position and financial performance of the Group is provided in note 25.

In the transition to FRS 102 from old UK GAAP, the Company has made no measurement and recognition adjustments.

FRS 102 grants certain first-time adoption exemptions from the full requirements of FRS 102. The following exemptions have been taken in these financial statements:

- Business combinations – Business combinations that took place prior to 1 April 2014 have not been restated.
- Lease incentives – for leases commenced before 1 April 2014 the Group and Company continued to account for lease incentives under previous UK GAAP.

The parent company is included in the consolidated financial statements, and is considered to be a qualifying entity under FRS 102 paragraphs 1.8 to 1.12. The following exemptions available under FRS 102 in respect of certain disclosures for the parent company financial statements have been applied:

- The reconciliation of the number of shares outstanding from the beginning to the end of the period has not been included a second time;
- No separate parent company Cash Flow Statement with related notes is included; and
- Key Management Personnel compensation has not been included a second time.
- Certain disclosures required by FRS 102.26 Share Based Payments; and,
- The disclosures required by FRS 102.11 Basic Financial Instruments and FRS 102.12 Other Financial Instrument Issues in respect of financial instruments not falling within the fair value accounting rules of Paragraph 36(4) of Schedule 1.

The accounting policies set out below have, unless otherwise stated, been applied consistently to all periods presented in these financial statements:

Judgements made by the directors, in the application of these accounting policies that have significant effect on the financial statements and estimates with a significant risk of material adjustment in the next year are discussed in note 24.

1.1. Measurement convention

The financial statements are prepared on the historical cost basis.

1.2. Going concern

The group's business activities, together with the factors likely to affect its future development, performance and position are set out in the Strategic report. The Group's forecasts and projections, taking into account reasonably possible changes in trading performance, show that the Group should be able to operate with its currently available facilities. The Group has sufficient financial resources together with assets that are expected to generate cash flow in the normal course of business. As a consequence the Directors have a reasonable expectation that the Company and the Group are well placed to manage their business risks and to continue in operational existence for the foreseeable future. Accordingly, the Directors have adopted the going concern basis in preparing these financial statements.

Notes (continued)

1 Accounting policies (continued)

1.3. Basis of consolidation

The consolidated financial statements include the financial statements of the Company and its subsidiary undertakings made up to 31 March 2016. A subsidiary is an entity that is controlled by the parent. The results of subsidiary undertakings are included in the consolidated profit and loss account from the date that control commences until the date that control ceases. Control is established when the Company has the power to govern the operating and financial policies of an entity so as to obtain benefits from its activities. In assessing control, the Group takes into consideration potential voting rights that are currently exercisable.

Under Section 408 of the Companies Act 2006 the Company is exempt from the requirement to present its own profit and loss account.

In the parent financial statements, investments in subsidiaries are carried at cost less impairment.

1.4. Foreign currency

Transactions in foreign currencies are translated to the Group companies' functional currency at the foreign exchange rate ruling at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies at the balance sheet date are retranslated to the functional currency at the foreign exchange rate ruling at that date. Non-monetary assets and liabilities that are measured in terms of historical cost in a foreign currency are translated using the exchange rate at the date of the transaction. Foreign exchange differences arising on translation are recognised in the profit and loss account.

The assets and liabilities of foreign operations, including goodwill and fair value adjustments arising on consolidation, are translated to the Group's presentational currency, Sterling, at foreign exchange rates ruling at the balance sheet date. The revenues and expenses of foreign operations are translated at an average rate for the year where this rate approximates to the foreign exchange rates ruling at the dates of the transactions. Foreign exchange differences arising on retranslation are recognised in other comprehensive income.

1.5. Classification of financial instruments issued by the group

In accordance with FRS 102.22, financial instruments issued by the group are treated as equity only to the extent that they meet the following two conditions:

- (a) they include no contractual obligations upon the group to deliver cash or other financial assets or to exchange financial assets or financial liabilities with another party under conditions that are potentially unfavourable to the group; and
- (b) where the instrument will or may be settled in the entity's own equity instruments, it is either a non-derivative that includes no obligation to deliver a variable number of the entity's own equity instruments or is a derivative that will be settled by the entity exchanging a fixed amount of cash or other financial assets for a fixed number of its own equity instruments.

To the extent that this definition is not met, the proceeds of issue are classified as a financial liability. Where the instrument so classified takes the legal form of the entity's own shares, the amounts presented in these financial statements for called up share capital and share premium account exclude amounts in relation to those shares.

Notes (continued)

1 Accounting policies (continued)

1.6. Basic financial instruments

Trade and other debtors / creditors

Trade and other debtors are recognised initially at transaction price less attributable transaction costs. Trade and other creditors are recognised initially at transaction price plus attributable transaction costs. Subsequent to initial recognition they are measured at amortised cost using the effective interest method, less any impairment losses in the case of trade debtors. If the arrangement constitutes a financing transaction, for example if payment is deferred beyond normal business terms, then it is measured at the present value of future payments discounted at a market rate of instrument for a similar debt instrument.

Interest-bearing borrowings classified as basic financial instruments

Interest-bearing borrowings are recognised initially at the present value of future payments discounted at a market rate of interest. Subsequent to initial recognition, interest-bearing borrowings are stated at amortised cost using the effective interest method, less any impairment losses.

Cash and cash equivalents

Cash and cash equivalents comprise cash balances and call deposits. Bank overdrafts that are repayable on demand and form an integral part of the Company's cash management are included as a component of cash and cash equivalents for the purpose only of the cash flow statement.

1.7. Tangible fixed assets

Tangible fixed assets are stated at cost less accumulated depreciation and accumulated impairment losses.

The company assesses at each reporting date whether tangible fixed assets are impaired.

Depreciation is charged to the profit and loss account on a straight-line basis over the estimated useful lives of each part of an item of tangible fixed assets. The estimated useful lives are as follows:

Leasehold Land and buildings	over the lease term
Computer equipment	3-5 years straight line
Fixtures, fittings and equipment	4 years straight line

Depreciation methods, useful lives and residual values are reviewed if there is an indication of a significant change since last annual reporting date in the pattern by which the company expects to consume an asset's future economic benefits.

1.8. Business combinations

Business combinations are accounted for using the purchase method as at the acquisition date, which is the date on which control is transferred to the entity.

At the acquisition date, the group recognises goodwill at the acquisition date as:

- the fair value of the consideration (excluding contingent consideration) transferred; plus
- estimated amount of contingent consideration (see below); plus
- the fair value of the equity instruments issued; plus
- directly attributable transaction costs; less
- the net recognised amount (generally fair value) of the identifiable assets acquired and liabilities and contingent liabilities assumed.

FRS 102.35 grants certain exemptions from the full requirements of FRS 102 in the transition period. The Company/Group elected not to restate business combinations that took place prior to 1 April 2014. In respect of acquisitions prior to 1 April 2014, goodwill is included on the basis of its deemed cost, which represents the amount recorded under old UK GAAP. Intangible assets previously included in goodwill, are not recognised separately.

Notes (continued)

1 Accounting policies (continued)

1.9. Intangible assets and goodwill

Goodwill

Goodwill is stated at cost less any accumulated amortisation and accumulated impairment losses. Goodwill is allocated to cash-generating units or group of cash-generating units that are expected to benefit from the synergies of the business combination from which it arose.

Amortisation

Amortisation is charged to the profit or loss on a straight-line basis over the estimated useful lives of intangible assets. Intangible assets are amortised from the date they are available for use.

Goodwill is amortised on a straight line basis over its useful life. Goodwill has no residual value. The finite useful life of goodwill is estimated to be 20 years

The company reviews the amortisation period and method when events and circumstances indicate that the useful life may have changed since the last reporting date.

Goodwill and other intangible assets are tested for impairment in accordance with Section 27 Impairment of assets when there is an indication that goodwill or an intangible asset may be impaired.

1.10. Impairment excluding deferred tax assets

Financial assets (including trade and other debtors)

A financial asset not carried at fair value through profit or loss is assessed at each reporting date to determine whether there is objective evidence that it is impaired. A financial asset is impaired if objective evidence indicates that a loss event has occurred after the initial recognition of the asset, and that the loss event had a negative effect on the estimated future cash flows of that asset that can be estimated reliably.

An impairment loss in respect of a financial asset measured at amortised cost is calculated as the difference between its carrying amount and the present value of the estimated future cash flows discounted at the asset's original effective interest rate. For financial instruments measured at cost less impairment an impairment is calculated as the difference between its carrying amount and the best estimate of the amount that the Company would receive for the asset if it were to be sold at the reporting date. Interest on the impaired asset continues to be recognised through the unwinding of the discount. Impairment losses are recognised in profit or loss. When a subsequent event causes the amount of impairment loss to decrease, the decrease in impairment loss is reversed through profit or loss.

Non-financial assets

The carrying amounts of the entity's non-financial assets, other than deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated. The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For the purpose of impairment testing, assets that cannot be tested individually are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets or groups of assets (the "cash-generating unit"). The goodwill acquired in a business combination, for the purpose of impairment testing is allocated to cash-generating units, or ("CGU") that are expected to benefit from the synergies of the combination. For the purpose of goodwill impairment testing, if goodwill cannot be allocated to individual CGUs or groups of CGUs on a non-arbitrary basis, the impairment of goodwill is determined using the recoverable amount of the acquired entity in its entirety, or if it has been integrated then the entire group of entities into which it has been integrated.

An impairment loss is recognised if the carrying amount of an asset or its CGU exceeds its estimated recoverable amount. Impairment losses are recognised in profit or loss. Impairment losses recognised in respect of CGUs are allocated first to reduce the carrying amount of any goodwill allocated to the units, and then to reduce the carrying amounts of the other assets in the unit (group of units) on a *pro rata* basis.

Notes (continued)

1.10. Impairment including deferred tax assets (continued)

An impairment loss is reversed if and only if the reasons for the impairment have ceased to apply.

Impairment losses recognised in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

1.11. Employee benefits

Defined contribution plans

A defined contribution plan is a post-employment benefit plan under which the company pays fixed contributions into a separate entity and will have no legal or constructive obligation to pay further amounts. Obligations for contributions to defined contribution pension plans are recognised as an expense in the profit and loss account in the periods during which services are rendered by employees.

1.12. Turnover

Turnover represents amounts receivable for services, net of VAT. Turnover is recognised upon delivery of the service.

1.13. Expenses

Operating lease

Payments (excluding costs for services and insurance) made under operating leases are recognised in the profit and loss account on a straight-line basis over the term of the lease unless the payments to the lessor are structured to increase in line with expected general inflation; in which case the payments related to the structured increases are recognised as incurred. Lease incentives received are recognised in profit and loss over the term of the lease as an integral part of the total lease expense.

Interest receivable and interest payable

Interest income and interest payable are recognised in profit or loss as they accrue, using the effective interest method.

1.14. Taxation

Tax on the profit or loss for the year comprises current and deferred tax. Tax is recognised in the profit and loss account except to the extent that it relates to items recognised directly in equity or other comprehensive income, in which case it is recognised directly in equity or other comprehensive income.

Current tax is the expected tax payable or receivable on the taxable income or loss for the year, using tax rates enacted or substantively enacted at the balance sheet date, and any adjustment to tax payable in respect of previous years.

Deferred tax is provided on timing differences which arise from the inclusion of income and expenses in tax assessments in periods different from those in which they are recognised in the financial statements. The following timing differences are not provided for: differences between accumulated depreciation and tax allowances for the cost of a fixed asset if and when all conditions for retaining the tax allowances have been met; and differences relating to investments in subsidiaries to the extent that it is not probable that they will reverse in the foreseeable future and the reporting entity is able to control the reversal of the timing difference. Deferred tax is not recognised on permanent differences arising because certain types of income or expense are non-taxable or are disallowable for tax or because certain tax charges or allowances are greater or smaller than the corresponding income or expense.

Deferred tax is provided in respect of the additional tax that will be paid or avoided on differences between the amount at which an asset (other than goodwill) or liability is recognised in a business combination and the corresponding amount that can be deducted or assessed for tax. Goodwill is adjusted by the amount of such deferred tax.

Deferred tax is measured at the tax rate that is expected to apply to the reversal of the related difference, using tax rates enacted or substantively enacted at the balance sheet date. Deferred tax balances are not discounted.

Unrelieved tax losses and other deferred tax assets are recognised only to the extent that it is probable that they will be recovered against the reversal of deferred tax liabilities or other future taxable profits.

Notes (continued)

2 Acquisitions and disposal of businesses

Acquisitions in the prior period

The Group made no acquisitions or disposals during the year.

3 Turnover

	2016 £000	2015 £000
Rendering of services	36,351	30,403
Total turnover	<u>36,351</u>	<u>30,403</u>
	2016 £000	2015 £000
<i>By activity</i>		
Management Consulting	<u>36,351</u>	<u>30,403</u>
<i>By geographical market</i>		
United Kingdom	21,274	15,460
Europe	8,909	5,544
Rest of the World	6,168	9,399
	<u>36,351</u>	<u>30,403</u>

4 Auditor's remuneration

Auditor's remuneration:

	2016 £000	2015 £000
Audit of these financial statements	16	8
Amounts receivable by the company's auditor and its associates in respect of:		
Audit of financial statements of subsidiaries of the company	27	27
Taxation compliance services	21	10
Other tax advisory services	10	8

Notes (continued)

5 Staff numbers and costs

The average number of persons employed by the Group (including directors) during the year, analysed by category, was as follows:

	Number of employees	
	2016	2015
Administrative	10	5
Sales	138	103
	<u>148</u>	<u>108</u>

The aggregate payroll costs of these persons were as follows:

	2016 £000	2015 £000
Wages and salaries	12,095	10,636
Social security costs	2,049	1,300
Contributions to defined contribution plans	141	40
	<u>14,285</u>	<u>11,976</u>

6 Directors' remuneration

	2016 £000	2015 £000
Directors' remuneration	801	800
Company contributions to money purchase pension plans	35	5

The aggregate of remuneration of the highest paid director was £398,000 (2015: £401,000), and company pension contributions of £23,000 (2015: £4,000) were made to a money purchase scheme on his behalf.

	Number of directors	
	2016	2015
Retirement benefits are accruing to the following number of directors under:		
Money purchase schemes	<u>3</u>	<u>6</u>

7 Other interest receivable and similar income

	2016 £000	2015 £000
Bank Interest	<u>14</u>	<u>6</u>

Notes (continued)

8 Interest payable and similar charges

	2016 £000	2015 £000
Interest payable on financial liabilities at amortised cost		
On bank loans and overdraft	616	748
Loan Note Interest	2,389	2,557
Amortisation of issue costs of loan notes	151	42
Monitoring fees	96	160
	<u>3,252</u>	<u>3,507</u>

9 Taxation

Total tax expense recognised in the profit and loss account

	2016 £000	2015 £000
<i>Current tax</i>		
Current tax on income for the period	818	642
Adjustments in respect of prior periods	(18)	(13)
<i>Foreign tax:</i>		
Current tax on income in the period	483	193
Total current tax	<u>1,283</u>	<u>822</u>
<i>Deferred tax (note 20)</i>		
Origination and reversal of timing differences	145	31
Change in tax rate	-	(50)
Total deferred tax	<u>145</u>	<u>(19)</u>
Total tax	<u>1,428</u>	<u>803</u>

Notes (continued)

9 Taxation (continued)

Reconciliation of effective tax rate

	2016 £000	2015 £000
Profit for the year	1,245	(580)
Total tax expense	1,428	803
Profit excluding taxation	2,673	223
Tax using the UK corporation tax rate of 20% (2015: 21%)	535	46
Reduction in tax rate on deferred tax balances	4	-
Non-deductible expenses	388	686
Capital Allowances in excess of depreciation	-	(29)
Fixed Asset differences	6	-
Other short term timing differences	22	11
Tax exempt revenues	(22)	(19)
Foreign tax adjustments	463	136
Current year losses for which no deferred tax asset was recognised	50	(15)
Under / (over) provided in prior years	(18)	(13)
Total tax expense included in profit or loss	1,428	803

Reductions in the UK corporation tax rate from 21% to 20% (effective from 1 April 2015), were substantially enacted on 2 July 2013. Further reductions to 19% from 1 April 2017 were enacted in 2015 and in the Summer budget 2016, the Chancellor announced additional planned reductions to 17% from 2020. This will reduce the company's future current tax charge accordingly.

10 Intangible assets and goodwill

<i>Group</i>	Goodwill £000
Cost	
Balance at 1 April 2015 and 31 March 2016	27,846
Amortisation and impairment	
Balance at 1 April 2015	1,970
Amortisation for the year	1,360
Balance at 31 March 2016	3,330
Net book value	
At 31 March 2016	24,516
At 31 March 2015	25,876

Notes (continued)

10 Intangible assets and goodwill (continued)

Amortisation charge

The amortisation charge is recognised in the following line items in the profit and loss account:

	2016 £000	2015 £000
Administrative expenses	(1,360)	(1,395)
	<u>(1,360)</u>	<u>(1,395)</u>

Impairment loss and subsequent reversal

There were no impairment losses and reversals in the year.

11 Tangible fixed assets

Group	Leasehold improvements £000	Fixtures, fittings tools and equipment £000	Computer equipment £000	Total £000
Cost				
Balance at 1 April 2015	166	78	340	584
Additions	42	56	303	401
Disposals	-	(14)	(238)	(252)
Balance at 31 March 2016	<u>208</u>	<u>120</u>	<u>405</u>	<u>733</u>
Depreciation and impairment				
Balance at 1 April 2015	20	9	56	85
Depreciation charge for the year	61	51	253	365
Disposals	-	(4)	(64)	(68)
Balance at 31 March 2016	<u>81</u>	<u>56</u>	<u>245</u>	<u>382</u>
Net book value				
At 31 March 2016	<u>127</u>	<u>64</u>	<u>160</u>	<u>351</u>
At 31 March 2015	<u>146</u>	<u>69</u>	<u>284</u>	<u>499</u>

Notes (continued)

12 Fixed asset investments

Company	Interest in group undertakings £000
Cost	
At beginning of year	-
Additions	22,421
Disposals	-
At end of year	<u>22,421</u>
Provisions	
At beginning of year	-
Provided in year	-
Disposals	-
At end of year	<u>-</u>
Net book value	
At 31 March 2016	<u>22,421</u>
At 31 March 2015	<u>-</u>

The undertakings in which the Group's and Company's interest at the year-end is more than 20% are as follows.

	Country of incorporation	Principal activity	Group	Class and percentage of shares held Company
Subsidiary undertakings				
Alpha FMC Group Limited	UK	Intermediate holding company	-	100% ordinary
Alpha FMC Group Nominees Limited	UK	Group services	-	100% ordinary
Alpha Financial Markets Consulting Group Limited	UK	Intermediate holding company	100% ordinary	-
Alpha Financial Markets Consulting Limited	UK	Consultancy services to asset/wealth management industry	100% ordinary	-
Alpha Financial Markets Consulting (France) SA	France	Consultancy services to asset/wealth management industry	100% ordinary	-
Alpha Financial Markets Consulting Inc	USA	Consultancy services to asset/wealth management industry	100% ordinary	-
Alpha Financial Markets Consulting (Luxembourg) SARL	Luxembourg	Consultancy services to asset/wealth management industry	100% ordinary	-
Alpha Financial Markets Consulting Netherlands B.V.	Netherlands	Consultancy services to asset/wealth management industry	100% ordinary	-
Glass Client Programs Ltd	UK	Consultancy services to asset/wealth management industry	100% ordinary	-

Notes (continued)

13 Debtors

	Group		Company	
	2016 £000	2015 £000	2016 £000	2015 £000
Trade debtors	7,046	6,468	15	-
Amounts owed by group undertakings	-	-	11,899	731
Other debtors	572	920	-	-
Deferred tax assets (note 18)	-	132	-	-
Prepayments and accrued income	1,635	431	-	-
	<u>9,253</u>	<u>7,951</u>	<u>11,914</u>	<u>731</u>

Debtors include prepayments and accrued income of £nil (2015: £nil) (Company: £nil (2015: £nil) due after more than one year.

14 Cash and cash equivalents/ bank overdrafts

	2016 £000	2015 £000
Cash at bank and in hand	6,705	5,319
Cash and cash equivalents per cash flow statements	<u>6,705</u>	<u>5,319</u>

15 Creditors: amounts falling due within one year

	Group		Company	
	2016 £000	2015 £000	2016 £000	2015 £000
Shareholder loan notes (note 17)	-	281	-	-
Trade creditors	987	1,511	-	-
Amounts owing to undertakings with Parent Company	3,750	-	4,910	-
Taxation and social security	1,401	1,360	-	-
Corporation tax	319	207	-	-
Other creditors	69	-	-	-
Accruals and deferred income	4,264	3,681	-	-
	<u>10,790</u>	<u>7,040</u>	<u>4,910</u>	<u>-</u>

16 Creditors: amounts falling after more than one year

	Group		Company	
	2016 £000	2015 £000	2016 £000	2015 £000
Shareholder loan notes (note 17)	-	25,610	-	-
Bank loans and overdrafts (note 17)	-	6,850	-	-
	<u>-</u>	<u>32,460</u>	<u>-</u>	<u>-</u>

Notes (continued)

17 Interest-bearing loans and borrowings

This note provides information about the contractual terms of the Group's and parent Company's interest-bearing loans and borrowings, which are measured at amortised cost.

	Group		Company	
	2016 £000	2015 £000	2016 £000	2015 £000
Creditors falling due after more than one year				
Secured bank loans	-	7,000	-	-
Shareholder loan notes	-	25,610	-	-
	<u>-</u>	<u>32,610</u>	<u>-</u>	<u>-</u>
Creditors falling due within less than one year				
Shareholder loan notes	-	281	-	-
	<u>-</u>	<u>281</u>	<u>-</u>	<u>-</u>

Terms and debt repayment schedule

Group	Currency	Nominal interest rate	Year of maturity	Repayment schedule	2016 £000	2015 £000
Secured bank loans	GBP	11%	2020	At maturity or sale or listing of company	-	25,610
Shareholder loan notes	GBP	8% + LIBOR	2018	At maturity	-	7,000
					<u>-</u>	<u>32,610</u>

Alpha FMC Group Limited had a Mezzanine Facility of £7,000,000 with Beechbrook Capital LLP. The loan was repayable in full on 24 October 2018 or earlier upon the sale or listing of the Group. Interest was accrued at a rate of either LIBOR plus 10% per annum if the group chose to pay the interest on the interest repayment date, or at 8% per annum plus the PIK rate of 4.5% if they chose to capitalise the PIK element of the rate. Interest repayment dates were 31 March 2015 and every quarter thereafter.

The Group was sold in February 2016 and the Mezzanine Facility was settled in full at the point of sale, including all accrued interest.

Shareholder loan notes

The shareholders invested £280,534 of loan notes in Alpha FMC Group Limited on 24 October 2013. As part of the agreement Alpha FMC Group Limited had to transfer an amount of £280,534 into an Escrow account, and therefore interest was accrued per the interest actually received in the Escrow account. The loan note was repayable in full with any interest accrued between 6 and 18 months from 24 October 2013.

On the sale of the Group in February 2016, the £280,534 of loan notes were transferred to the purchasing Company.

The shareholders invested £21,988,914 of loan notes in Alpha FMC Group Limited on 24 October 2013. The loan was repayable on 31 March 2020 or earlier upon the sale or listing of the company. Interest was accruing at a rate of 11% per annum and was rolled up by the issue of additional loan notes.

On the sale of the Group in February 2016, the £21,988,914 of loan notes were settled in full including all interest accrued.

Notes (continued)

18 Deferred tax assets and liabilities

Deferred tax assets and liabilities are attributable to the following:

Group	Assets		Liabilities		Net	
	2016 £000	2015 £000	2016 £000	2015 £000	2016 £000	2015 £000
Accelerated capital allowances	-	-	24	27	24	27
Other	(11)	(159)	-	-	(11)	(159)
Net tax (assets) / liabilities	(11)	(159)	24	27	13	(132)

In addition to the deferred tax asset above, the Group has no additional unrecognised gross tax losses.

19 Capital and reserves

	2016 £000	2015 £000
<i>Allotted, called up and fully paid</i>		
Nil (2015: 461,552) A1 ordinary shares of £0.01 each	-	4,616
Nil (2015: 45,948) A2 ordinary shares of £0.01 each	-	459
Nil (2015: 610,022) B ordinary shares of £1 each	-	518,354
Nil (2015: 490,000) C ordinary shares of £0.01 each	-	4,900
61,999,700(2015: nil) ordinary shares of £0.01 each	619,997	-
	<u>619,997</u>	<u>528,329</u>
Shares classified as liabilities	-	-
Shares classified in shareholders' funds	<u>619,997</u>	<u>528,329</u>
	<u>619,997</u>	<u>528,329</u>

The Company's B shares were subdivided and all classes of share were reclassified as ordinary shares at the point of the acquisition of the Group in February 2016.

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company.

Share premium account

The balance classified as share premium relates to the aggregate net proceeds less nominal value of shares on issue of the Company's equity share capital.

Dividends

After the balance sheet date no dividends were proposed by the directors.

Notes (continued)

20 Financial instruments

(a) Carrying amount of financial instruments

The carrying amounts of the financial assets and liabilities include:

	2016 £000	2015 £000
Assets measured at amortised cost	14,323	12,707
Liabilities measured at amortised cost	(6,526)	(37,581)

21 Operating leases

Non-cancellable operating lease rentals are payable as follows:

	Group 2016 £000	2015 £000	Company 2016 £000	2015 £000
Less than one year	33	-	-	-
Between one and five years	380	288	-	-
More than five years	-	-	-	-
	<u>413</u>	<u>288</u>	<u>-</u>	<u>-</u>

During the year £380,000 was recognised as an expense in the profit and loss account in respect of operating leases (2015: £340,000).

22 Related parties

Group

Identity of related parties with which the Group has transacted

During the year, an amount of £20,000 was charged to the company by Mr T Trotter, a director of the company, for consultancy services.

The Group was acquired by Caelius Bidco Ltd in February 2016.

Transactions with key management personnel

Total compensation of key management personnel (including the directors) in the year amounted to £3,772,000 (2015: £3,472,000).

Company

Identity of related parties with which the Company has transacted

There were no related party transactions during the year.

23 Ultimate parent company and parent company of larger group

The Company is a subsidiary undertaking of Caelius Bidco Ltd. The ultimate parent company is Caelius Topco Ltd and the ultimate controlling party is Dunedin LLP.

Notes (continued)

24 Accounting estimates and judgements

Key sources of estimation uncertainty

There is no significant estimation uncertainty.

25 Explanation of transition to FRS 102 from old UK GAAP

As stated in note 1, these are the Group's and Company's first financial statements prepared in accordance with FRS 102.

The accounting policies set out in note 1 have been applied in preparing the financial statements for the year ended 31 March 2016 and the comparative information presented in these financial statements for the year ended 31 March 2015.

Group

In preparing its FRS 102 balance sheet, the Group has adjusted amounts reported previously in financial statements prepared in accordance with its old basis of accounting (UK GAAP). An explanation of how the transition from UK GAAP to FRS 102 has affected the Group's financial position and financial performance is set out in the following tables and the notes that accompany the tables.

Reconciliation of profit/loss and equity from old GAAP to FRS 102

Group	Note	Profit for the year ended 31 March 2015 £000	Equity as at 31 March 2015 £000	Equity as at 1 April 2014 £000
Amount under old GAAP		(585)	256	850
Holiday Pay Accrual	a	5	(111)	(116)
Amount under FRS 102		(580)	145	734

Notes to the reconciliation of profit/loss

- a) The cost of accrued but untaken holiday

Company

In preparing their FRS 102 balance sheet, the Company has not adjusted amounts reported previously in financial statements prepared in accordance with its old basis of accounting (UK GAAP).